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BACKGROUND

On

January 6, 2026, Plaintiffs commenced this action against American Honda Motor Co., Inc. alleging violations of Statutory Obligations under the Song-Beverly Act.

On

March 16, 2026, Defendant filed the instant Demurrer and Motion to Strike.

On September 9, 2026, Plaintiffs filed an opposition.

On September 15, 2026, Defendant filed a reply.

DISCUSSION

Applicable

Law

Code of Civil Procedure ("CCP") section 430.10 subdivision (e) is grounds for a demurrer when the complaint fails to state facts sufficient to constitute a cause of action. CCP § 430.10(f) is grounds for a demurrer when the complaint is uncertain (vague and ambiguous). For purposes of ruling on a demurrer, material facts properly pleaded in the complaint must be taken as true. (Serrano v. Priest (1971) 5 Cal.3d 584, 491.)

A demurrer may challenge only defects that appear on the face of the pleading or from matters which are judicially noticeable. (Blank v. Kirwan (1985) 39 Cal.3d 311, 31; Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994; California Practice Guide, Civil Procedure Before Trial, ¶7:8 (The Rutter Group 2024).)

The function of a demurrer is to test the legal sufficiency of a complaint, but not the truthfulness of the allegations. (Donabedian v. Mercury Ins. Co., supra, 116 Cal.App.4th at 994; Lewis v. Safeway, Inc. (2015) 235 Cal.App.4th 385, 388; SJJC Aviation Services, LLC v. City of San Jose (2017) 12 Cal.App.5th 1043, 1051-1052; California Practice Guide, Civil Procedure Before Trial, ¶7:5 (The Rutter Group 2024).) Demurrers are to be sustained where a pleading fails to plead adequately any essential element of the cause of action. (Cantu v. Resolution Trust Corp. (1992) 4 Cal.App.4th 857, 879-80.)

“A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. Therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed (Code Civ. Proc., §§ 430.30, 430.70). The only issue involved in a demurrer hearing is whether the complaint, as it stands, unconnected with extraneous matters, states a cause of action.” (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747; Accord McKenney v. Purepac Pharmaceutical Co. (2008) 162 Cal.App.4th 72, 79.) When considering demurrers, courts read the allegations liberally and in context. (McKenney, supra, 167 Cal.App.4th at 77; Taylor v. City of Los Angeles Dept. of Water and Power (2006) 144 Cal.App.4th 1216, 1228.)

“If the complaint states a cause of action under any theory, regardless of the title under which the factual basis for relief is stated, that aspect of the complaint is good against a demurrer.” (Quelimane Co. v. Stewart Title Guaranty Co. (1998) 19 Cal.4th 26, 38.)

Analysis:

Demurrer

A. Meet
and Confer

“Before filing a motion for judgment

on the pleadings pursuant to this chapter, the moving party shall meet and confer in person, by telephone, or by video conference with the party who filed the pleading that is subject to the motion for judgment on the pleadings for the purpose of determining if an agreement can be reached that resolves the claims to be raised in the motion for judgment on the pleadings.” (CCP § 439 subd. (a).) “A determination by the court that the meet and confer process was insufficient shall not be grounds to grant or deny the motion for judgment on the pleadings.” (Id. at subd. (a)(4).)

Here,

Defense Counsel declares that on

February 19 and 26, 2026, they contacted Plaintiffs’ counsel by email to request a date and time to meet and confer telephonically but as of the date of filing, Plaintiffs’ counsel has not provided any response. (Hurvitz Decl., ¶ 2.)

The Court finds Defendant’s efforts to meet and confer sufficient.

B.

Fraudulent Concealment (Fifth Cause of Action)

Fraud

based on concealment requires that “(1) the defendant must have concealed or suppressed a material fact, (2) the defendant must have been under a duty to disclose the fact to the plaintiff, (3) the defendant must have intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, (4) the plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact, and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage.” (Bigler-Engler v. Breg, Inc. (2017) 7 Cal.App.5th 276, 310-311 (Bigler-Engler).) “Even under the strict rules of common law pleading, one of the canons was that less particularity is required when the facts lie more in the knowledge of the opposite party.” (Alfaro v. Community Housing Improvement System & Planning Assn., Inc. (2009) 171 Cal.App.4th 1256, 1384.)

An

essential element of intentional concealment includes the duty to disclose, which must be based upon a transaction, or a special relationship, between plaintiff and defendant. (Id. at p. 314.) “There are ‘four circumstances

in which nondisclosure or concealment may constitute actionable fraud: (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; and (4) when the defendant makes partial representations but also suppresses some material facts.” (Id. at p.

311.) “[O]ther than the first instance,

in which there must be a fiduciary relationship between the parties, ‘the other three circumstances in which nondisclosure may be actionable presuppose[] the existence of some other relationship between the plaintiff and defendant in which a duty to disclose can arise. . . . “[W]here material facts are known to one party and not to the other, failure to disclose them is not actionable fraud unless there is some relationship between the parties which gives rise to a duty to disclose such known facts.”

[Citation.]’ [Citation.]” (Hoffman v. 162 North Wolfe LLC (2014)

228 Cal.App.4th 1178, 1187 (Hoffman).)

“Such a transaction must necessarily arise from direct dealings between the plaintiff and the defendant; it cannot arise between the defendant and the public at large.” (Bigler-Engler, supra, 7 Cal.App.5th at p. 312.)

i.

Pleading Fraud with Specificity

Defendant

argues that Plaintiffs do not allege facts supporting the fraudulent concealment claim with the requisite particularity. (Mot. at pp. 4-5.)

Defendant contends that the

fraud claim is built upon fleetwide allegations about “Honda Vehicles” and quotations from unidentified third-party complaints regarding other vehicles (Compl. ¶¶ 46–53) while Plaintiffs plead no vehicle-specific facts showing what occurred in the Subject Vehicle, when it occurred, or that the infotainment system ever malfunctioned in their vehicle. (Ibid.)

Defendant asserts that Plaintiffs allege no repair visits, dates, service history, or description of any actual freeze or crash (Compl. ¶¶ 1–67) and allegations that the system “can” or “may” malfunction are not particularized facts of concealment as to these Plaintiffs or this vehicle. (Compl. ¶¶ 46–47, 60– 61.) (Ibid.)

In opposition, Plaintiffs contend that

the Complaint sufficiently alleges the following: Plaintiffs entered into a warranty relationship with Honda on or about November 20, 2020 (Complaint, ¶

6); Plaintiffs identified the material facts Honda knew prior to their acquisition of the Subject Vehicle that Honda withheld from Plaintiffs (Id., ¶¶ 49-50, 52-55, 62-63); Plaintiffs alleged that Defendant had superior knowledge of the facts (Id., ¶ 63); the safety risks posed by the Infotainment System Defect (Id., ¶¶ 12, 46-47, 51-53, 55, 58, 60-63, 66-67); the materiality of that information (Id., ¶¶ 58, 63-65); Plaintiffs' reliance on the non-disclosure (Id., ¶¶ 58-59, 66-67); and damages. (Opp., pp. 4-5.)

In reply, Defendant argues that the Complaint does not identify any specific pre-sale representation, any communication with AHM, any repair history, or any instance in which the alleged defect manifested in Plaintiffs' vehicle, nor does it allege facts showing what AHM knew, when it knew it, or how any such knowledge related to Plaintiffs' transaction. (Reply, p. 1.) Defendant asserts that without any allegation that the purported defect ever manifested in Plaintiffs' vehicle, Plaintiffs cannot plausibly allege the existence of a material fact, much less AHM's knowledge of such a fact. (Ibid.)

Here, Plaintiffs allege that Defendant knew about the Infotainment Defect before they purchased the vehicle. (Complaint ¶¶ 48-53.) Plaintiffs allege that they did not know about these defects and problems, and Defendant, who had superior knowledge of the defect, did not disclose the defects when Plaintiffs purchased the vehicle. (Complaint ¶ 63.) These allegations are specific enough to allege the information that was concealed, and the danger posed. (See *Jones v. ConocoPhillips Co.* (2011) 198 Cal.App.4th 1187, 1199-1200 ["it is harder to apply [the requirement of specificity] to a case of simple nondisclosure. 'How does one show "how" and "by what means" something didn't happen, or "when" it never happened, or "where" it never happened?' . . . Even under the strict rules of common law pleading, one of the canons was that less particularity is required when the facts lie more in the knowledge of the opposite party' ".])

There is also authority for the proposition that fraud claims against a corporation must identify the individuals who made the representations and their position in the company (*Tarmann v. State Farm Mut. Auto. Ins. Co.* (1991) 2 Cal.App.4th 153, 157), but Plaintiffs' claim is in the nature of a concealment claim, in which it would be impracticable to allege the identity of the persons who did not disclose the

defect.

Further,

a duty to disclose is also sufficiently pleaded here. Plaintiffs allege that Defendant had exclusive knowledge of the infotainment system defect through various sources not available to consumers, such as testing and warranty data. (Complaint ¶ 63.) This is sufficient. (*Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828, 834 [plaintiff adequately pleaded Nissan's exclusive knowledge of the defect where "plaintiffs alleged in part that Nissan 'knew or should have known about the safety hazard posed by the defective transmissions before the sale of CVT-equipped vehicles from premarket testing, consumer complaints to the National Highway Traffic Safety Administration ('NHTSA'), consumer complaints made directly to Nissan and its dealers, and other sources which drove Nissan to issue Technical Service Bulletins acknowledging the transmission's defect."].)

While

Defendant argues that these sources were equally available to Plaintiffs, the Complaint alleges that these sources were not available to consumers, and no additional allegations on this point are needed at this stage.

Therefore,

the demurrer to the fifth cause of action is **OVERRULED** on this ground.

ii.

Duty

Defendant

argues that Plaintiffs fail to plead a duty to disclose as the Complaint alleges no direct dealings with AHM. (Mot., p. 6.)

Here,

as discussed above, a duty to disclose is sufficiently pleaded here. Defendant essentially asks the Court to adjudicate whether Plaintiffs actually had direct dealings with AHM, but it is enough at the demurrer stage that Plaintiffs allege that they interacted with Honda's sales representatives and entered into a contract with Honda. (Compl. ¶ 66.) The allegations must be taken as true and no additional allegations on this point are needed at the

demurrer stage.

Therefore,

the demurrer to the fifth cause of action is OVERRULED on this ground.

iii.

Knowledge

Defendant

argues that Plaintiffs' allegations of pre-sale knowledge are boilerplate as they list generic categories of potential information sources such as testing, customer complaints, warranty data, and information from AHM's dealer network, but plead no facts showing any such information actually identified a defect in the Subject Vehicle before Plaintiffs' purchase on November 20, 2020. (Compl. ¶¶ 6, 49.) (Mot., pp. 8-9.)

Here,

as discussed above, Defendant's exclusive knowledge is sufficiently pleaded here. It is enough at the demurrer stage that Plaintiffs allege that they did not know about these defects and problems, and Defendant, who had superior knowledge of the defect based on various sources which Plaintiffs list, did not disclose the defects when Plaintiffs purchased the vehicle. The allegations must be taken as true and no additional allegations on this point are needed at the demurrer stage.

Therefore,

the demurrer to the fifth cause of action is OVERRULED on this ground.

iv.

Concealment or Partial Representation

Defendant

argues that the Complaint does not allege a single affirmative act by AHM intended to suppress information or prevent Plaintiffs from discovering the alleged Infotainment System Defect. (Mot., p. 10.) Defendant contends that Plaintiffs repeatedly allege that Honda "concealed" or "failed to disclose" the defect (Compl. ¶¶ 54, 57, 64), but those are omissions, not affirmative acts of concealment, and the pleading does not allege that AHM altered documents, destroyed evidence, instructed dealers to withhold information, removed publicly available materials, or otherwise took any step designed to prevent discovery of the alleged defect. (Ibid.)

Here,

as discussed above, Plaintiffs allege that they did not know about the subject defects and problems, and Defendant, who had superior knowledge of the defect, did not disclose the defects when Plaintiffs purchased the vehicle. (Complaint ¶ 63.) These allegations are specific enough to allege the information that was concealed, and the danger posed. (See Jones, supra, 198 Cal.App.4th at 1199-1200 [“it is harder to apply [the requirement of specificity] to a case of simple nondisclosure. ‘How does one show “how” and “by what means” something didn’t happen, or “when” it never happened, or “where” it never happened?’ . . . Even under the strict rules of common law pleading, one of the canons was that less particularity is required when the facts lie more in the knowledge of the opposite party’ ”].)

Therefore,

the demurrer to the fifth cause of action is OVERRULED on this ground.

v.

Economic Loss Rule

The economic loss rule provides

that “[i]n general, there is no recovery in tort for negligently inflicted ‘purely economic losses,’ meaning financial harm unaccompanied by physical or property damage.” (Sheen v. Wells Fargo Bank, N.A. (2022) 12 Cal.5th 905, 922 (quoting, Southern California Gas Leak Cases (2019) 7 Cal.5th 391, 400).) Furthermore, it “requires a [contractual party] to recover in contract for purely economic loss due to disappointed expectations, unless he can demonstrate harm above and beyond a broken contractual promise.” (Robinson Helicopter Co., Inc. v. Dana Corp. (2004) 34 Cal.4th 979, 988 (Robinson).)

In Robinson,

supra, 34 Cal.4th at p. 988, the court explained the economic loss rule’s application to an intentional tort, specifically fraudulent misrepresentation, in the performance of a contract. The court found that a parts supplier who falsely certified the parts were manufactured according to contract specifications was liable in tort as well as breach of contract. (Robinson, supra, 34 Cal.4th at p. 991.) However, the court declined to address

the issue of fraudulent concealment and only decided the matter of affirmative misrepresentation. (Ibid.) (“Because [the supplier]’s affirmative intentional misrepresentations of fact (i.e., the issuance of the false certificates of conformance) are dispositive fraudulent conduct related to the performance of the contract, we need not address the issue of whether [the supplier]’s intentional concealment constitutes an independent tort.”)

This issue is controlled by *Dhital*, where the court held, “plaintiffs’ claim for fraudulent inducement by concealment is not subject to demurrer on the ground it is barred by the economic loss rule.” (*Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828, 840 (*Dhital*) (review dismissed December 18, 2024.)) The California Supreme Court granted review of *Dhital* and deferred further action “pending consideration and disposition of a related issue in [*Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1 (*Rattagan*)].” (*Dhital v. Nissan North America, Inc.* (2023) 304 Cal.Rptr.3d 82.) Following publication of *Rattagan*, the California Supreme Court dismissed review of *Dhital*. (*Dhital v. Nissan North America, Inc.* (2024) 327 Cal.Rptr.3d 898.)

In *Rattagan*, the court held, “a plaintiff may assert a cause of action for fraudulent concealment based on conduct occurring in the course of a contractual relationship, if the elements of the claim can be established independently of the parties’ contractual rights and obligations and the tortious conduct exposes the plaintiff to a risk of harm beyond the reasonable contemplation of the parties when they entered into the contract.” (*Rattagan*, *supra*, Cal.5th 1, at p. 54.) However, the *Rattagan* court expressly did not consider the application of the economic loss doctrine to fraudulent inducement by concealment. (*Rattagan supra*, 17 Cal.5th at p. 41 fn. 12 “[Plaintiff’s] tort claims are, of course, based on alleged conduct committed during the contractual relationship but purportedly outside the parties’ chosen rights and obligations. This court has granted review in two other cases — *Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828, 300 Cal.Rptr.3d 715, review granted Feb. 1, 2023, S277568 and *Kia America v. Superior Court* (Feb. 3, 2022, D079858) [nonpub. opn.], review granted Apr.

20, 2022, S273170 — both of which involve claims of fraudulent inducement by concealment claims as well as the potential interplay with remedies available under the Song-Beverly Consumer Warranty Act (Civ. Code, § 1791 et seq.). We do not address these issues here.”].)

Because

the California Supreme Court did not address this issue in *Rattagan* and subsequently dismissed review, *Dhital* remains binding authority. (See Cal Rules of Court, Rule 8.528 (3) [“An order dismissing review does not affect the publication status of the Court of Appeal opinion unless the Supreme Court orders otherwise.”]; *Dhital v. Nissan North America, Inc.* (2023) 304 Cal.Rptr.3d 82, 83 [“The request for an order directing depublication of the opinion is denied.”]; see also Advisory Committee Comment, subd. (b), to Cal. Rules of Court, 8.528 [noting “after the [California Supreme C]ourt decides a ‘lead’ case, its current practice is to dismiss review in any pending companion case (i.e., a ‘grant and hold’ matter under rule 8.512(c)) that appears correctly decided in light of the lead case and presents no additional issue requiring resolution by the Supreme Court or the Court of Appeal.”].)

Defendant

argues that Plaintiffs’ fraudulent concealment claim is barred by the economic loss rule and the California Supreme Court’s ruling in *Rattagan*, *supra*, 17 Cal.5th 1. (Mot. p. 11.) Specifically, Defendant contends that the fraudulent concealment claim fails because the elements of the claim cannot be established independent of the parties’ contractual rights and obligations and because the alleged tortious conduct did not expose Plaintiffs to a risk of harm beyond the reasonable contemplation of the parties when they entered into the contract. (*Ibid.*)

In opposition, Plaintiffs contend

that “Honda’s argument is functionally the equivalent of saying the warranty contract, and the availability of damages through statutory causes of action, categorically exempts Honda from any possible fraud claim. This argument—that the warranty contract releases Honda from tort liability—‘threaten[s] to undermine our tort system’s goal of maintaining community standards of conduct and ensuring wrongdoers compensate those they harm. [Citation.] Section 1668 prevents parties ‘from granting themselves licenses to commit future aggravated wrongs.’ (*New England Country Foods, LLC v. VanLaw Food Products, Inc.* (2025) 17 Cal.5th 703, 709-10.)” (Opp., p. 13.) Plaintiffs rely on *Dhital v.*

Nissan in arguing that the economic loss rule does not apply to claims for fraudulent inducement. (Id., p. 2.)

In reply, Defendant contends the key in Dhital was that the plaintiff alleged specific facts demonstrating that Nissan both knew of and affirmatively acknowledged the defect by issuing technical service bulletins, while Plaintiffs' allegations here are boilerplate. (Opp., p. 6.)

Here, Dhital controls, and there is no merit to Defendant's economic loss rule argument. "[T]ort damages have been permitted in contract cases . . . where the contract was fraudulently induced." (Robinson Helicopter Co., Inc. v. Dana Corp. (2004) 34 Cal.4th 979, 990.) As Plaintiffs allege that their contract for purchase of the vehicle was the product of fraudulent concealment, the economic loss rule does not apply.

Therefore, the demurrer to the fifth cause of action is OVERRULED on the grounds of the economic loss rule.

Based on the foregoing, Counsel are also instructed that the Court has ruled on the Economic Loss Rule's application to Fraudulent Concealment claims under Song-Beverly many times in previous pleading challenges involving the same Defendant and same claim. The parties are on notice that this order is intended to govern the disposition of the Economic Loss Rule's application to Fraudulent Concealment claims in all future Song-Beverly actions before this Court, unless new law later governs. Bringing repeated pleading challenges on this basis will likely result in denial on the same grounds.

Analysis:

Motion to Strike

To succeed on a motion to strike punitive damages allegations, it must be said as a matter of law that the alleged behavior was not so vile, base, or contemptible that it would not be looked down upon and despised by ordinary decent people. (Angie M. v. Superior Court (1995) 37 Cal.App.4th 1217, 1228-1229.) Civil Code section 3294

provides that punitive damages are available in non-contract actions where defendant is guilty of malice, oppression, or fraud, defined as follows:¿

(c) As used in this section, the following definitions shall apply:¿

1. "Malice" means conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others.¿

2. "Oppression" means despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person's rights.¿

3. "Fraud" means an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury.

(Civ.
Code § 3294.)

Here, Defendant moves to strike Plaintiffs' request for punitive damages on the grounds that Plaintiffs' fraudulent-concealment claim fails as a matter of law.

Here,
as Defendant's demurrer to the fraudulent concealment claim was overruled, the Court finds that the request for punitive damages need not be struck at this time.

Accordingly,
Defendant's motion to strike Plaintiffs' request for punitive damages is DENIED.

CONCLUSION

Defendant's Demurrer to the Fifth Cause of

Action for Fraudulent Concealment is OVERRULED.

Defendant's
motion to strike Plaintiffs' request for punitive damages is
DENIED.